

# Tax Risk and Compliance Procedures Manual



# 1 Tax Risk and Compliance Procedures Manual

## Background

The National Social Security Fund (the Fund) is Uganda's largest provident Fund. It provides a long-term savings mandatory scheme to the nation's private sector. The Fund's mandate is to collect and safeguard contributions, prudently manage members' savings by investing them in a sustainable and responsible manner that delivers long-term value, protect members' interests and enable the payment of competitive benefits and returns in accordance with its statutory and fiduciary obligations. The Fund's investment portfolio comprises of fixed income, equities, and real estate.

The Fund incurs Tax on its business and property income. It also suffers Indirect taxes such as VAT, stamp duty and customs. These taxes present significant business and reputational risks that must be addressed proactively. Our success in mitigating tax risk depends on the availability of effective procedures.

## Purpose

This document lays out procedures designed to identify and mitigate the Fund's tax risk. Management and staff shall adhere to these procedures in conducting the Fund's business.

## Scope

This Tax procedures manual covers all taxes. These taxes include business and rental tax, pay as you earn (PAYE), stamp duty and other transactional taxes such as VAT. The Fund is also required to withhold tax on payments made to nonexempt suppliers.

The manual covers procedures designed to mitigate risk at a strategic and operational level within a specified risk management framework.

### 1.30 Tax risk and compliance strategy

The Fund's tax risk and compliance strategy is anchored on four pillars.

- Governance
- Attitude in dealing with tax authorities
- Risk assessment
- Internal tax awareness.

### 1.31 Governance

Management has ultimate responsibility in meeting the Fund's tax obligations. All tax planning strategies should conform with the tax laws of Uganda and other jurisdictions in which it invests. Management shall ensure that the Fund's tax compliance and planning is carried out by qualified tax professionals with adequate training, experience and credentials.

The day-to-day responsibility for ensuring compliance with tax laws and management of the Fund's tax affairs shall lie with the Tax and Insurance Manager. The Tax and Insurance Manager will be assisted by a Financial Accountant - Tax who shall report to him. The Tax and Insurance Manager shall report to Chief Financial Officer (CFO). Through this structure, the Executive Committee of the Fund shall be informed of significant tax matters and obligations. The Enterprise Risk Management (ERM) Department and the Board shall play an oversight role in monitoring tax risk.

The Fund shall provide adequate training and support to the Tax and Insurance Manager, Financial Accountant - Tax and any other member of the Tax Team to ensure that they have the skills, knowledge and technical expertise necessary to identify, assess, monitor, manage and advise on the Fund's tax risk.

#### **1.32 Approach in dealing with Tax Authorities**

The Fund shall engage tax authorities in a timely, positive, professional and transparent manner. In the event of an inquiry or request for information from any tax authority, the Fund shall work collaboratively wherever possible with the tax authority to resolve and to achieve early agreement. The Tax and Insurance Manager may seek the support of external Tax advisors when engaging Tax Authorities.

The tax advisors will have the responsibility of directly engaging any tax authority on behalf of the Fund.

Where disagreements over taxes arise, the Fund shall follow the procedure provided for in tax procedure code and other tax laws to resolve the dispute.

#### **1.33 Tax Awareness**

The Tax team shall equip all relevant staff with the necessary knowledge to enable them to identify, assess, report and mitigate any tax risk arising from their operations. The purpose of this is to increase the awareness of staff to tax risk resulting in cost savings from more effective tax compliance and planning.

#### **1.34 Risk Assessment**

Management shall prioritize the identification and mitigation of tax risk as the driver of the Fund's tax compliance and planning strategy. The day-to-day Investment and business tax risk will be addressed through the tax compliance procedures provided in Section II of this document. These procedures are designed to emphasize tax planning in the daily transactions of the Fund's operations and ensure compliance with Tax law.

The tax risk reporting framework is provided in Section III of this manual. The objective of this framework is to ensure that management is kept informed of any material tax risks facing the Fund at any one time and the possible impact on the Fund's operations.

#### **1.35 Tax Compliance Procedures**

The Fund's overall Tax Compliance procedures and accountability framework (RASCI : Responsible, Accountable, Support, Consulted, Informed) is as below

| Process      | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | RASCI                                                                                                                  |
|--------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------|
| Tax advisory | <b>Tax planning (Annual Budget cycle)</b><br><br>The CFO shall review all proposed departmental and Fund budgets to ensure that the applicable tax implications have been duly identified and incorporated by the respective departments.<br><br>The budgets will be signed off by the CFO to confirm that the tax review has been completed before the budget is approved by the management.                                                                                                                          | CFO (R)<br><br>Budget Manager (R)<br><br>Tax and Insurance Manager (S)                                                 |
|              | <b>Evaluation of procurements</b><br><br>The CFO shall provide support during evaluation of procurements to ensure the tax implications are considered when making decisions.<br><br>The Contracts Committee Chairperson and the Head of PDU shall be responsible for ensuring that the Tax and Insurance Manager's participation is attained at the time of evaluation and proposed changes taken into consideration.                                                                                                 | CFO (S)<br><br>Head of PDU (A,R)<br><br>Contracts Committee Chairperson (A,R)<br><br>Tax and Insurance Manager (S,C,I) |
|              | <b>Tax review of relevant legal contracts</b><br><br>The Tax Manager shall be engaged at an early stage in the structuring and drafting of project and transaction related agreements to ensure optimal guidance on tax structuring, risk allocation, tax efficiency, mitigation of tax-related risks, and compliance with applicable tax laws.<br><br>The Corporation Secretary shall ensure that appropriate tax review is obtained prior to the finalization and execution of all relevant agreements or contracts. | Tax and Insurance Manager (S,C,I)<br><br>Corporation Secretary (R,A)                                                   |
|              | <b>Investments</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     | CFO (S,R)                                                                                                              |

| Process      | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | RASCI                                                                                                                                                 |
|--------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------|
| Tax advisory | <p>The CFO shall provide a tax opinion on the tax implications of any investment transaction with complex or unclear tax implications.</p> <p>The responsibility for seeking this opinion rests with the Chief Investment Officer and Chief Risk Officer.</p> <p>The opinion will include but is not limited to;</p> <ul style="list-style-type: none"> <li>— Summary of the facts</li> <li>— Tax implications</li> <li>— Tax disclosure and reporting implications</li> <li>— Evidence of circulation of opinion to key stakeholders (e.g., Investment and Risk)</li> </ul> | <p>Chief Investment Officer.(R,A)</p> <p>Chief Risk Officer(S)</p> <p>Tax and Insurance Manager (S,C,I)</p>                                           |
|              | <p><b>Employment taxes</b></p> <p>The Tax and Insurance Manager in consultation with the legal and Board Affairs department shall advise the People and Culture Department on the tax implication of any new employment benefits and contractor arrangements.</p> <p>The Chief People and Culture Officer shall be responsible for requesting advise rom the Tax team at the time of approving the benefits.</p>                                                                                                                                                             | <p>Chief People and Culture Officer (A,R)</p> <p>Tax and Insurance Manager (S,C,I)</p> <p>CFO (S,I)</p> <p>Chief People and Culture Officer (A,R)</p> |

| Process             | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               | RASCI                                                                                                                |
|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------|
|                     | <p><b>Product development</b></p> <p>The CFO shall advise the product development team on the tax implications of any new product and on how to mitigate any identified risks.</p> <p>The Head of Marketing and Corporate Affairs shall be responsible for attaining the CFO's advice at the time of the development and approval of any new products.</p> <p>This opinion should be updated for any legislative tax changes that may have occurred prior to implementation of the product.</p> <p>The Tax and Insurance Manager will conduct a post implementation review of these products to ensure that the tax treatment outlined in the tax opinion remains accurate and that all measures have been implemented for any legislative changes.</p> | <p>CFO (S,R)</p> <p>Head of Marketing and Communication (A,R)</p> <p>Tax and Insurance Manager (S,C,I,R)</p>         |
| <b>Tax advisory</b> | <p><b>Supplier payments</b></p> <p>The Tax and Insurance Manager shall be consulted by the payments team for clarification on the compliance requirements associated with supplier payments.</p> <p>The Tax and Insurance Manager will advise accordingly to ensure that no errors are made in determining the appropriate Withholding tax and Withholding VAT deductions and imported services VAT charged.</p> <p>The Accounts Payable Manager will be responsible for attaining the Tax and Insurance Manager's input for relevant payments</p>                                                                                                                                                                                                      | <p>Tax and Insurance Manager (,I)</p> <p>Accounts Payable Manager (A,R)</p> <p>Tax and Insurance Manager (S,C,I)</p> |

| Process        | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | RASCI                                                              |
|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------|
| Tax Compliance | <b>Tax returns</b><br><br>The Fund's tax returns shall be prepared by the Financial Accountant - Tax, reviewed by the Tax and Insurance Manager and submitted to Uganda Revenue Authority before the 15 <sup>th</sup> day of the following month for VAT, PAYE and WHT monthly returns then 30 <sup>th</sup> June and 30 <sup>th</sup> November for the rental and business income provisional and final income tax returns respectively.<br><br>The Tax and Insurance Manager must maintain all necessary documentation ready for review at any time by the respective URA officers to confirm that all deadlines have been met.                                                                                                                                                     | Tax and Insurance Manager (R)<br><br>CFO (A)                       |
|                | <b>Reconciliations</b><br><br>The Financial Accountant – Tax shall reconcile the tax returns to the respective tax accounts.<br><br>The Financial Accountant - Tax shall conduct monthly reconciliations of the Fund's Enterprise Resource Planning sales ledger to the EFRIS sales ledger<br><br>A reconciliation should be made for the VAT, VAT withholding, WHT and PAYE returns by the 15 <sup>th</sup> day of the following month. The annual reconciliations shall be performed within three months of signing of the financial statements.<br><br>The Tax and Insurance Manager and the CFO shall jointly sign off on these annual reconciliations, with the Manager responsible for technical accuracy and the CFO responsible for overall financial oversight and approval. | Tax and Insurance Manager (R)<br><br>CFO (A)                       |
| Tax Compliance | <b>Payment of taxes</b><br><br>The Payment of taxes shall be supported by tax returns and URA Payment registration and an approved payment requisition. Prepared by the Tax Team and signed off by the CFO<br>In the case of PAYE, the payment must also be supported by a signed statutory deductions' memo prepared by the Benefits and Rewards specialist from the People and Culture team.<br><br>The monthly statutory payments i.e. VAT, PAYE and WHT must be made by the 15 <sup>th</sup> day of the following month while the bi-annual rental and business income tax payments must be made by 30 <sup>th</sup> June and 31 <sup>st</sup> December of every year.                                                                                                            | AP Manager (R)<br><br>Tax and Insurance Manager (R )<br><br>CFO(A) |

| Process           | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | RASCI                                         |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| Quality Assurance | <b>External communications</b><br><br>All Communication of a routine and factual nature received from the tax authorities will be recorded by the Tax and Insurance Manager and responded to on a timely basis.<br><br>Correspondence received by the Fund relating to tax should be tracked by the Tax and Insurance Manager on a separate sheet including a list of pending actions and expected completion dates.<br><br>All correspondence received by the Fund and meetings with third parties relating to taxes will be communicated to the CFO for the purpose of receiving the necessary advice and support. All User departments should involve the Tax and Insurance Manager in all tax related matters. | Tax and Insurance Manager (R)<br><br>CFO (A)  |
|                   | <b>Maintenance of records</b><br><br>The Tax and Insurance Manager shall maintain electronic and physical records of all supporting documents for at least five (5) years for domestic tax related matters, and for seven (7) years for imported goods as provided for in the tax law.<br><br>The period for maintaining records shall be reviewed and revised regularly to incorporate any changes in Uganda's tax law.                                                                                                                                                                                                                                                                                           | Tax and Insurance Manager (R)<br><br>CFO (A)  |
|                   | <b>Tax health check</b><br><br>The Fund shall contract an external advisor to conduct a comprehensive tax health check of its operations every three years. As a quality assurance measure, the contracted advisor should be independent from the tax advisory firm on retainer. However, where the tax advisory firm is being rotated, the same firm may provide both services.<br><br>A report of the health checks' findings and recommendations will be provided to the CFO who will share it with management as a quality check of the Fund's effectiveness in managing tax risk.                                                                                                                             | CFO (R.)<br><br>Tax and Insurance Manager (S) |
|                   | <b>External tax advisors</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | CFO (R.)                                      |



| Process       | Procedure                                                                                                                                                                                                                                                                                                                                                    | RASCI                                    |
|---------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
|               | The Fund shall retain a tax advisory firm to support its tax team in meeting the Fund's compliance obligations. The advisors will also provide support in interpretation of tax law, correspondences, and negotiations with the tax authorities among others.                                                                                                | Tax and Insurance Manager (S)            |
| Tax awareness | <b>EXCO</b><br>The CFO will ensure that management remains up to date on changes in the tax legislation. The relevant training and updates to the Heads of Department and their teams will be provided by the Tax and Insurance Manager or contracted external advisor every July after the national budget is read or at any other time as deemed necessary | CFO (R)<br>Tax and Insurance Manager (S) |
|               | <b>Staff queries</b><br>The Tax and Insurance Manager will ensure that all staff queries on tax matters are promptly responded to, and records maintained of this advice for future reference.                                                                                                                                                               | Tax and Insurance Manager (R)<br>CFO (A) |
|               | <b>Partnerships</b><br>The CFO will support the Fund in developing necessary networks that will help promote awareness of any tax concerns to stakeholders and lobby Government for favorable changes in regional and local tax matters                                                                                                                      | CFO (R)<br>Tax and Insurance Manager (S) |
|               | <b>Key stakeholder engagement</b><br>The Tax team in consultation of the Legal and Bard Affairs Department will provide all the necessary information to senior management which help in sensitizing members and other stakeholders on key developments in the Fund's tax environment.                                                                       | Tax and Insurance Manager (R)<br>CFO (A) |

| Process          | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  | RASCI                                               |
|------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
| Transfer Pricing | <p><b>Transfer pricing document</b></p> <p>The Finance department shall maintain a transfer pricing "policy" document in accordance with the Transfer Pricing Regulations. (Statutory Instrument No. 30 of 2011)</p> <p>This document shall contain sufficient information and analysis to verify that the Fund's controlled transactions (all transactions with associates) are consistent with the arm's length principle.</p> <p>The CFO shall ensure that the document is updated and available for each year of income prior to the due date for filing the income tax return for the year. (i.e by 31 December)</p> <p>The Tax and Insurance Manager shall ensure that the Fund maintains any other supporting documents required by the tax authorities to verify the information in the policy</p> | <p>CFO (R)</p> <p>Tax and Insurance Manager (S)</p> |

| Process            | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 | RASCI                                                                                                            |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------|
| Tax Risk Reporting | <b>Tax risk register</b><br><br>The Tax and Insurance Manager will maintain a tax risk register to ensure all relevant risks are monitored and timely action taken to mitigate them. Consideration will be given on a monthly basis as to whether a tax provision is required for any of the identified tax risks<br><br>All significant tax issues and the tax risks are to be reported to the CFO.<br><br>The Tax and Insurance Manager will participate in completing the departmental risk register to ensure that controls set up to mitigate tax risks are implemented effectively. | Tax and Insurance Manager (R)<br><br>CFO (A)<br><br>Risk champion to finance (R,S,C)<br><br>Head of Risk (A,S,C) |
|                    | <b>Quarterly tax status reports</b><br><br>The Tax and Insurance Manager shall prepare Quarterly tax status reports for management.<br><br>This report shall provide a summary of the key compliance, operational, financial and strategic tax risks faced by the Fund during the quarter.<br><br>This report shall categorize these risks in accordance with the risk management framework provided in section three.<br><br>Risks categorized as very high and extreme will be reported by CFO to the Board.                                                                            | Tax and Insurance Manager (R)<br><br>CFO (A)                                                                     |
|                    | <b>Tax risk assessment framework</b><br><br>The Tax and Insurance Manager shall review and assess the Fund's tax risk semi-annually in accordance with the principles laid out in the tax risk assessment framework below.<br><br>Tax risk shall be measured and categorized in accordance with the parameters set out in section three (3) of this manual.<br><br>The CFO will report any risk to the Management Risk Committee and implement any recommended mitigation measures as approved.                                                                                           | CFO (R)<br><br>Head of Risk (A)                                                                                  |

| Process | Procedure                                                                                                                                                                                                                                                                                                                                                                                                                            | RASCI                                               |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------|
|         | <p><b>Financial statement tax reporting</b></p> <p>The Tax and Insurance Manager shall ensure that the tax disclosures in the financial statements are prepared in line with International Financial Reporting Standard (IFRS) and Generally Accepted Accounting Principles (GAAP).</p> <p>Tax disclosures shall be reviewed by the Fund's external auditors for completeness and accuracy as part of the Fund's external Audit.</p> | <p>Tax and Insurance Manager (R)</p> <p>CFO (A)</p> |

## 1.36 Tax Risk Assessment Framework

### 1.36.1 Risk Assessment Guidelines

#### Introduction

These guidelines outline the framework through which the Fund shall monitor and report its tax risk.

#### Tax risk is defined as follows:

Any event in strategy, operations, financial reporting, or compliance that adversely affects the Fund's tax obligation, or creates tax exposure that cripples the Fund's operations or results in an unanticipated or unacceptable level of financial loss, reputational damage or erroneous financial statement disclosure. This may be due to erroneous action or inaction by anyone.

In the context of the tax risk management, the Fund shall consider the following categories of risks:

- Financial Risk- A negative impact on cash as a result of tax (e.g., an unexpected tax payment)
- Compliance systems risk- an instance of inability to comply with regulatory and statutory requirements. (e.g., late lodgment of a tax return or use of incorrect data)
- Operational Risk- The risk of loss arising from inadequate or failed internal processes, people and systems (e.g., a transaction is implemented without considering the tax cost, inadequate documentation to support tax refunds, or failure to tax a taxable employee benefit)
- Strategic Risk- Uncertainties and untapped opportunities embedded in the business's overall strategic intent (e.g., reputational risk resulting in negative publicity arising from failure to sensitize public on changes in tax regime, noncompliance leading to /creating a high-risk profile within the tax authority office or a higher risk leading to higher costs of transactions and compliance.

Risks include the existing obligation to pay an amount as a result of events happening in the present, past and future.

#### Risk assessment approach

Tax risks shall be assessed using a consistent process that considers the nature of the transaction or event, the applicable tax law, the potential financial exposure, the likelihood of occurrence, the adequacy of existing controls, the potential reputational impact and the level of uncertainty in the tax position adopted by the Fund.

Each risk assessment shall follow the steps below:

1. Identify the tax risk by describing the transaction, event, process failure, compliance gap, uncertainty or external development that may give rise to a tax exposure.

2. Determine the relevant tax type, including VAT, WHT, WHVAT, PAYE, corporation tax, rental tax, stamp duty, customs duty, transfer pricing or any other applicable tax.
3. Assess the likelihood of the risk occurring by considering transaction frequency, historical errors, complexity of the law, quality of available documentation, system controls and reliance on manual processes.
4. Assess the impact of the risk by considering potential tax payable, penalties, interest, cash flow impact, financial statement impact, operational disruption, reputational damage and potential regulatory or Board attention.
5. Evaluate existing controls and determine whether they are designed appropriately and operating effectively to prevent, detect or correct the risk.
6. Assign a risk rating in accordance with the Fund's approved tax risk categories and risk matrix.
7. Assign a risk owner responsible for implementing mitigation actions, maintaining evidence and providing status updates to the Tax and Insurance Manager.
8. Document the recommended mitigation action, responsible officer, target completion date, residual risk rating and escalation requirement.

#### **Assessment criteria and escalation**

A tax risk shall be escalated to the CFO where it is rated High or above, involves material uncertainty in the interpretation of tax law, may result in a significant financial exposure, affects financial statement disclosures, involves a dispute or inquiry from the tax authority, relates to a significant or unusual transaction, or may create reputational exposure for the Fund.

Risks rated Very High or Extreme, or any risk considered strategic, sensitive or likely to affect the Fund's reputation, shall be escalated by the CFO to ExCo and, where appropriate, to the Board or the Audit and Risk Committee.

#### **Documentation and review**

All tax risk assessments shall be documented in the tax risk register and supported by relevant evidence, including computations, reconciliations, contracts, invoices, correspondence, technical opinions, management approvals, mitigation plans and evidence of implementation.

The Tax and Insurance Manager shall review the tax risk register at least semi-annually and whenever a significant transaction, legislative change, tax authority inquiry, audit finding, control failure or material tax position arises. The Financial Accountant - Tax shall support the review by preparing reconciliations, maintaining supporting schedules and updating the status of mitigation actions.

### 1.36.2 Risk Process



### 1.36.3 Tax Risk Management Roles and Responsibilities

The Fund shall analyze the tax risk attached to any transaction and factor these into every commercial decision.

The Fund achieves this objective by allocation of direct responsibility for tax risk management to various persons across the Fund's governance structure

The table below outlines the specific risk management responsibilities for each role within the Fund.

| Title        | Roles and Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|--------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Board        | <ul style="list-style-type: none"><li>— Overall responsibility for the management and control of the Fund.</li><li>— Ultimate responsibility for corporate governance and the tax risk management framework.</li><li>— The board is responsible for satisfying itself on a quarterly basis that management has developed and implemented a sound system of risk management and internal control.</li><li>— The Board may delegate detailed work relating to this to the Audit and Risk Committee.</li></ul> |
| Head of Risk | <ul style="list-style-type: none"><li>— Periodic oversight of this risk management program established and maintained by management.</li><li>— Review of changes to this risk management program.</li><li>— Oversight of the adequacy and comprehensiveness of the tax risk-reporting framework from management.</li></ul>                                                                                                                                                                                  |

| Title                             | Roles and Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Chief Financial Officer</b>    | <ul style="list-style-type: none"> <li>— Communicate the Fund's overall tax risk appetite, tax risk profile and approach to tax risk management, in liaison with the Head of Risk and the Tax and Insurance Manager.</li> <li>— Provide assurance to the Board and its committees that the Fund has an effective tax risk management framework and that significant transactions and events are subject to tax risk assessment before approval.</li> <li>— Approve and communicate tax policies, procedures and significant tax positions to the Board, relevant Board committees and ExCo.</li> <li>— Report material tax risks, mitigation status and unresolved issues to the Finance Committee, ExCo and, where required, the Board or Audit and Risk Committee.</li> <li>— Ensure clear ownership of tax risks by assigning risk owners for specific taxes, transactions, events or compliance activities.</li> <li>— Escalate significant, complex, sensitive or strategic tax matters to ExCo and/or the Board, including matters escalated by the Tax and Insurance Manager.</li> <li>— Provide final review and approval of material tax compliance and reporting obligations before submission, where required by the applicable procedure.</li> </ul> |
| <b>Tax and Insurance Manager</b>  | <ul style="list-style-type: none"> <li>— Design, implement and maintain the Fund's tax risk management processes, controls and reporting tools in line with the approved tax risk framework.</li> <li>— Identify, assess, monitor and document tax risks arising from the Fund's operations, investments, contracts, products and compliance obligations.</li> <li>— Advise departments on tax implications of their transactions and support risk owners in implementing approved mitigation actions and controls.</li> <li>— Prepare tax risk reports, tax status updates and other compliance reports for review by the CFO.</li> <li>— Escalate material, complex, uncertain or high-risk tax matters to the CFO with recommended mitigation actions or advice required.</li> <li>— Manage the Fund's day-to-day tax compliance obligations, including preparation, review coordination, filing support and maintenance of supporting documentation.</li> <li>— Manage operational relationships with the revenue authorities, external tax advisors and other stakeholders on tax matters, subject to CFO oversight for material matters.</li> </ul>                                                                                                        |
| <b>Financial Accountant - Tax</b> | <ul style="list-style-type: none"> <li>— Prepare tax returns, schedules, computations and supporting working papers for review by the Tax and Insurance Manager before filing or submission.</li> <li>— Perform monthly reconciliations of VAT, WHT, WHVAT, PAYE, rental tax, corporation tax and other applicable tax accounts to the ERP, EFRIS, URA ledger and supporting records.</li> <li>— Review invoices, payment documentation and transaction data to determine the appropriate tax treatment, including VAT, withholding tax, withholding VAT and imported services VAT, and escalate uncertain matters to the Tax and Insurance Manager.</li> <li>— Maintain accurate tax records, reconciliations, working papers, evidence of filings, payment confirmations, correspondence and other supporting documentation in accordance with the Fund's record retention requirements.</li> </ul>                                                                                                                                                                                                                                                                                                                                                            |



| Title                                                  | Roles and Responsibilities                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |
|--------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
|                                                        | <ul style="list-style-type: none"> <li>— Monitor statutory tax filing and payment deadlines and support timely preparation of payment requisitions, PRNs and related documentation for review and approval.</li> <li>— Support the preparation of tax risk registers, quarterly tax status reports, tax health check information, audit schedules and responses to routine tax queries.</li> <li>— Implement approved tax controls in day-to-day processing and promptly report compliance gaps, errors, emerging tax risks or unresolved matters to the Tax and Insurance Manager.</li> </ul> |
| <b>Heads of Departments, Managers and other staff.</b> | <ul style="list-style-type: none"> <li>— Understanding how the company manages tax risks.</li> <li>— Understanding the companies desired risk profile.</li> <li>— Understanding the tax risks triggered by the transactions, they are responsible for their roles and implementing recommended mitigation procedures.</li> </ul>                                                                                                                                                                                                                                                               |

#### 1.36.4 Tax Risk Mitigation

Tax risk can cause a significant negative impact on the Fund's reputation and/or finances. The Board, in meeting its fiduciary duties to members must manage tax risk and its impact on members.

The Tax and Insurance Manager shall identify tax risks and escalate them to the CFO, who shall determine whether further escalation to the Board is required for consideration, review and management, in order to mitigate the impact on the Fund.

The tax risk assessment criteria will assist staff in profiling tax risks and determining which risks require escalation to senior management and/or the Board.

#### 1.36.5 Tax Risk Management Strategy

The Fund's strategy on tax risk management shall emphasize prevention of unnecessary disputes with tax authorities that may give rise to reputational risk and increase the Fund's operational cost. In this regard, management shall aim at:

- Documenting controls and processes to mitigate potential risks.
- Maintaining good working relationships with tax authorities.
- Maintaining strong compliance procedures ensuring accurate and complete tax returns
- Reducing identified tax risks, thereby assisting the company's compliance with the regulator recommendations and revenue authority guidelines
- Clear explanation and documentation of these positions, especially facts and business substance.
- Having strong technical support for tax positions, including opinions from external advisors and tax authorities where necessary.

- Providing assurance to the Board that the existing tax risk management framework will allow consideration of relevant tax questions as part of every commercial decision relating to each transaction.

Assessment of risk and a rating for all identified risks shall be provided to the board on a quarterly basis.

#### 1.36.6 Tax Risk Assessment

Tax risk assessment shall adopt the following risk categorization, Low (Green), Medium (Amber), and High (Red). These risk assessment categories are consistent with the Fund's Risk Matrix. The risk level classifications below contain both qualitative and quantitative factors.

In assessing the risk, it is important to determine whether the likelihood and consequences of the risk occurring have been considered and documented.

| Tax Risk | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Risk Owner                                                |
|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------|
| Low      | No exposure                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Tax and Insurance Manager and Heads of Departments        |
| Medium   | Medium Risk classification generally applies where: <ul style="list-style-type: none"> <li>— There is an actual or potential instance of non-compliance with taxation laws and the tax risk is less than UGX 50,000,000; and</li> <li>— The application of tax law to the facts is straight forward; and</li> <li>— On policy or practical grounds, the Revenue Authorities are unlikely to take a contrary position to that adopted by the company; and</li> <li>— There is little risk of reputational damage accruing to the Fund.</li> </ul>   | Tax and Insurance Manager and Heads of Departments        |
| High     | High-risk classification is usually appropriate where: <ul style="list-style-type: none"> <li>— There is an actual or potential instance of non-compliance with taxation laws and the tax risk is at least UGX 50,000,000 but less than UGX 500,000,000; and</li> <li>— There is some material uncertainty concerning the application of the law by revenue authorities; and</li> <li>— There is complexity concerning the application of the law by Revenue authorities; and</li> <li>— The situation involves some reputational risk.</li> </ul> | Tax and Insurance Manager and Heads of Departments<br>CFO |

| Tax Risk  | Description                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Risk Owner                                                                          |
|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------|
| Very High | <p>Very High-Risk classification applies where:</p> <ul style="list-style-type: none"> <li>— There is an actual or potential instance of non-compliance with taxation laws and the tax risk is greater than UGX 500,000,000; or</li> <li>— There is significant complexity concerning the application of the law to the facts; or</li> <li>— There is some material uncertainty concerning the application of the law by revenue authorities; or</li> <li>— There is a reasonable likelihood of adverse legislative change; or</li> <li>— The transaction is of strategic importance to the company; or</li> <li>— The transaction involves significant reputational risk.</li> <li>— There is a reasonable likelihood of adverse legislative change;</li> </ul> | <p>Tax and Insurance Manager,<br/>Heads of Departments and<br/>Board</p> <p>CFO</p> |

Risk assessment involves identifying a range of options for addressing risk, assessing these options, preparing risk treatment plans and implementing them. The Risk owners identified above are to develop a documented plan to manage the tax risks identified, commensurate with the risk classification level

#### 1.37 Tax Health Check

Every 3 years (on a rolling basis), the Fund shall engage independent external tax advisors not on the fund's retainer to review and report on internal controls related to tax and compliance status of the Fund regarding the following taxes;

- Value added Tax (VAT)
- Pay as you earn (PAYE)
- Corporation Tax
- Rental Tax
- Withholding Tax
- Local Service Tax (LST)
- Excise Duty
- Custom duty

#### Applicable rates

| Tax                    | Rate |
|------------------------|------|
| Corporation Income Tax | 30%  |

|                   |                                                          |
|-------------------|----------------------------------------------------------|
| Rental Tax        | 30%                                                      |
| WH VAT            | 6%                                                       |
| VAT               | 0%, Exempt, or 18%                                       |
| PAYE              | Maximum is 40%                                           |
| Withholding tax   | 6% or 15% for local or 10% and 15% for foreign suppliers |
| Local service tax | UGX 100,000                                              |

The health check shall also review exceptional transactions E.g., investments that are unique in nature, exceptional procurements etc. to ensure compliance with tax laws. The Tax and Insurance Manager may advise the Fund to seek an opinion from the tax authorities or external tax advisors on any significant transactions that are likely to present uncertain or contentious tax positions.

The Tax function through the CFO shall provide a Tax status report to the Finance and Audit Committees of the Board on a quarterly basis.

### 1.38 External Advisors

The CFO shall determine whether tax matters are to be addressed internally or require engagement of external tax advisors.

The Fund's Finance Department, through the Tax Section, shall be responsible for routine and recurring tax compliance obligations and shall ordinarily manage such matters internally. External tax advice from the tax advisor on retainer shall be sought only where necessary and as recommended by the Tax and Insurance Manager. External tax advice shall ordinarily be obtained where a transaction or matter:

- Is material or highly complex
- Involves interpretation of tax law or judgement-based positions
- Presents a Medium or High tax risk rating
- May result in tax exposure exceeding 5% of the Fund's assets, or
- Relates to significant, unusual, or non-recurring investment transactions, or has the potential to adversely impact the reputation of the Fund.

Where a tax matter is assessed as significant, highly sensitive, or of strategic importance, the CFO, through the Corporation Secretary/Chief Legal Officer, shall obtain a second independent opinion from an external tax advisor, procured in accordance with the Fund's procurement procedures.

Where matters are particularly complex, contentious, or material, the Tax and Insurance Manager may recommend subject to the approval of the CFO that the Fund seek a private ruling or formal guidance from the Uganda Revenue Authority.

1.39 Reporting tax risk

To facilitate the reporting process, the Tax and Insurance Manager Financial Accountant - Tax shall prepare th following reports.

Quarterly Tax status reports (containing status updates about the Fund to EXCO): Only risks categorized as very High and extreme will be reported to the Board. This report provides a summary of the key compliance, operational, financial and strategic tax risk issues facing the Fund for each quarter.

The Chief Financial Officer shall hold regular one -on-ones with the Tax and Insurance Manager and heads of departments in respect of tax issues arising from each department's transactions.

The Chief Financial Officer shall present the quarterly tax status report to ExCo and the Board. More frequent exceptional reporting shall be provided by the CFO to ExCo in instances where an identified risk is rated as at least high; or the affected transaction is significant.

1.40 Tax risk reviews and audits

The Fund's Enterprise Risk Management department shall conduct semi- annual risk assessment covering the operational and compliance aspects of the Fund's tax obligations. The CFO is accountable for the tax risk assessments and ensuring the appropriate controls are in place to manage the identified risks.

The Fund's Internal Audit department shall conduct regular audits to ensure the Fund's staff and management adhere to controls put in place to mitigate tax compliance and risk across all departments.

The Fund's Legal and Board Affairs Department shall be responsible for monitoring developments within the tax regulatory environment and ensure that the Fund's tax compliance framework remains aligned with applicable laws and regulatory position, expectations, contractual arrangements, and handle any potential disputes arising from tax matters.

1.41 Filling tax returns

The Tax and Insurance Manager shall ensure that tax returns are filed at least 5 working days before the official tax authority deadlines.

| Tax return                       | Internal deadline                        | URA Deadline                   |
|----------------------------------|------------------------------------------|--------------------------------|
| PAYE                             | 10 <sup>th</sup> of the submission month | 15 <sup>th</sup> of each month |
| VAT, and WH VAT, and Reverse VAT | 10 <sup>th</sup> of the submission month | 15 <sup>th</sup> of each month |



|                                                                               |                                          |                                |
|-------------------------------------------------------------------------------|------------------------------------------|--------------------------------|
| Corporation tax, and Rental Income Tax- Final and 1 <sup>st</sup> provisional | 30 <sup>th</sup> of November             | 31 <sup>st</sup> of December   |
| Corporation tax, and Rental Income Tax – Revised Provisional                  | 31 <sup>st</sup> of May                  | 30 <sup>th</sup> of June       |
| Withholding tax                                                               | 10 <sup>th</sup> of the submission month | 15 <sup>th</sup> of each month |

#### 1.42 Tax Payments

Taxes shall be paid in accordance with the applicable tax laws, ensuring that tax payments are accurate and timely, to avoid penalties and sanctions for non-compliance with tax obligations.

However, payment may be delayed to the extent possible but only to the extent within the deadlines set by the applicable laws and regulations.

The Tax Manager shall ensure that all tax payments are made on or before the applicable statutory due dates to avoid fines, penalties, and interest.

#### 1.43 Tax disclosures in the financial statement

The Fund's investments activities around the region incur a substantial amount and variety of business and property taxes. These include income tax on property and rental income, custom duties, stamp duties and other business taxes. In addition, the Fund collects and pays employee taxes; withholding taxes and indirect taxes such as value added tax, excise duty and customs.

The taxes paid and collected by the Fund represent a significant contribution to the economies of Uganda and the wider region in which the Fund operates. Accordingly, the Fund shall ensure that tax disclosures in its financial statements are complete, accurate, and compliant with applicable accounting standards and tax legislation. Such disclosures shall include, at a minimum, the basis of taxation, current and deferred tax positions, tax payables and receivables, provisions and contingent liabilities, significant judgements and estimates, and the Fund's overall tax compliance status.

#### 1.44 Transfer Pricing

The Fund shall comply with the provisions of the Transfer Pricing Regulations (Statutory Instrument No 30 of 2011) issued by the Minister of Finance Planning and Economic Development. These regulations lay out criteria for determining the arm length price of transactions between associates (controlled transactions). The regulations require an entity with such transactions to maintain a document detailing the controlled transactions for each year of income and verifying that the prices adopted are consistent with the arm's length principle.

The Fund shall engage in transactions with its associates in a manner that is consistent with the arm's length principle as prescribed by the regulations.

The Tax and Insurance Manager shall prepare or ensure to engage an external tax advisor to prepare a document recording in writing, sufficient information and analysis to verify that the controlled transactions (all transactions with associates) are consistent with the arm's length principle.

This documentation shall be updated and in place for each year of income prior to the due date for filing the income tax return for the year. The Tax and Insurance Manager shall ensure that the Fund maintains any other documentation specified in a notice by the commissioner Uganda Revenue Authority as a requirement to have in place for purposes of the transfer pricing regulations

## **2.0 Transactional Tax assessment Procedure Guide.**

### **1. Introduction**

This procedural guide provides NSSF staff with a clear, step-by-step framework for determining the correct Value Added Tax (VAT) and Withholding Tax (WHT) treatment of expense transactions monthly. It is tailored to the unique nature of NSSF's operations, which comprise both VAT-exempt financial services and a VAT-taxable rental business stream. The guide is intended to ensure consistency, accuracy, and compliance in tax application across all departments and to support timely and reliable reporting in accordance with URA requirements.

### **2. Objective**

To ensure consistent, accurate and compliant VAT and WHT treatment of supplier payments and purchases, thereby safeguarding NSSF from penalties, enabling refund claims where appropriate, and ensuring correct withholding and remittance to the Uganda Revenue Authority (URA).

### **3. Key References (for technical teams)**

- Value Added Tax Act Cap 344
- Income Tax Act Cap 338
- URA Practice Notes
- NSSF Finance Procedures Manual

Where there is any doubt on interpretation, please consider obtaining formal URA clarification or tax counsel.

#### 4. Value Added Tax (VAT)

##### Introduction

NSSF makes mixed supplies for VAT purposes. While most of the Fund's income is VAT-exempt, the Fund is VAT-registered due to its commercial rental activities, which constitute taxable supplies. Accordingly, NSSF applies the Standard Alternative Method of apportionment, claiming only the VAT attributable to commercial properties. Input VAT on expenses that relate to both exempt and taxable activities is apportioned in accordance with URA guidelines.

##### Out Put VAT

NSSF shall charge Output VAT on all taxable goods and services and issue an EFRIS invoice to all applicable clients. Within the real estate business, VAT treatment applies to both the sale of real estate properties and rental income, as follows:

- Taxable services – Commercial properties
- Exempt services – Residential properties
- Taxable, or Exempt depending on nature of asset - Disposals of property, plant, and equipment
- No VAT applicable – Deemed / notional rent

##### Detailed step-by-step considerations and decision checklist

The Revenue Assurance team must assess each transaction using the following steps:

- Confirm there is a supply for consideration.
- Confirm it is made by NSSF in the course of business.eg provision of rental services
- Confirm the place of supply is Uganda or outside Uganda
- Check whether the supply is listed as exempt (e.g. financial services, residential rental).
- Check whether it is zero-rated under the VAT Act.
- If the supply is neither exempt nor zero-rated, it is a taxable supply at the standard rate of 18%, and NSSF must charge VAT on the consideration charged, The Manager, Revenue Assurance, shall issue an EFRIS tax invoice in accordance with applicable requirements..



#### Credit notes:

A VAT credit note shall be issued by the Financial Accountant -Revenue Assurance through EFRIS where goods or services previously invoiced are returned, cancelled, discounted, or where VAT was charged in error. The credit note shall reference the original tax invoice and shall be declared in the VAT return for the period in which it is issued, in accordance with URA requirements.

#### In Put VAT

The Accounts Payable Manager will ensure to claim all input VAT attributable to taxable supplies made. Input VAT must be claimed using EFRIS invoices. For premises owned by NSSF where NSSF occupies space (owner-occupied), no output VAT is charged by NSSF, and no input VAT is claimable. Input VAT shall be apportioned using the appropriate rate in line with the URA administrative guidelines. All input VAT must be claimed within six months, in accordance with the Tax Procedures Code Act Cap 343.

## 2 Detailed step-by-step considerations and decision checklist

This section sets out a step-by-step workflow that one should follow when assessing whether a VAT amount on a supplier invoice is allowable (creditable) in the VAT return. The taxable amount for VAT purposes is the total consideration amount paid or payable.

#### Step-by-step workflow:

The Financial Accountant (AP) shall Review the supporting documentation and confirm that a valid EFRIS e-invoice has been provided, with a valid Fiscal Device Number (FDN), and that the goods or services invoiced are Vatable and have been correctly charged with VAT.

1. Establish the cost center to which the goods or services relate. If the cost center is linked to commercial properties, the input VAT is claimable. Otherwise, the VAT incurred on the goods or services should be expensed or capitalized as appropriate. As illustrated below.
  - **Direct attribution:** Where an invoice relates directly to taxable rental activities (e.g. cleaning of common commercial areas or lift servicing for commercial tenants), input VAT is claimable in full.
  - **Owner-occupied or exempt activities:** Where costs relate to financial services operations or owner-occupied spaces used in exempt activities, the input VAT is not claimable.
  - **Mixed-use supplies:** Where an expense benefits both taxable and exempt activities, the input VAT is partially claimable and must be apportioned in accordance with the approved apportionment method.
2. Perform a monthly reconciliation between EFRIS output VAT report, and the internal VAT ledger. Any variances, including missing invoices, duplicate claims, timing differences, or asset disposals, must be promptly investigated and resolved before filing. Proof of reconciliations performed must be retained and maintained.
3. At the point of filing, the Financial Accountant - Tax shall prepare a working paper mapping each invoice to its VAT treatment (claimable, partially claimable, or disallowed) and obtain the necessary approvals before proceeding with the filing.

### Examples of expenses and how they are categorized

#### Allowable services include:

- **Fumigation services (commercial rented space and common areas) -**  
Directly related to maintenance of tenant occupied commercial areas.
- **Cleaning services (common areas) -**  
Cleaning of common areas used by tenants is claimable and subject to apportionment where applicable.
- **Supply and servicing of lifts, air-conditioning, fire equipment (common areas) -**  
Maintenance of equipment serving claimable and subject to apportionment where applicable.
- **Security services (guards) -**  
Security services for buildings are claimable but also subject to apportionment.
- **Plumbing works (commercial properties) -**  
Maintenance of water pipes and related infrastructure serving is claimable but also subject to apportionment.
- **Electrical maintenance (commercial areas) -**  
Repairs and servicing of electrical installations in rentable commercial space are claimable but also subject to apportionment.
- **Water and electricity bills (NWSC, UEDCL) -**  
Utilities billed for commercial tenants or common areas are claimable but also subject to apportionment
- **Landscaping and garden maintenance, painting and other services related to commercial properties** are claimable but also subject to apportionment
- **Construction of commercial properties -**  
Input VAT on construction costs for commercial buildings is fully claimable and **not subject to apportionment**, as it relates to taxable supplies.

### Disallowable Input VAT

All other services related to exempt supplies are non-creditable, and the associated input VAT cannot be claimed. This includes all expenses incurred in the operation of the organization that are not directly related to commercial properties. In addition, all expenses incurred in the construction of residential properties are not claimable unless there is a change in the law that permits such claims.

### Credit Notes

The supplier may issue a credit note where goods or services previously invoiced are returned, cancelled, discounted, or where VAT was charged in error. All credit notes shall be subject to review and approval by the Tax Manager upon submission of sufficient supporting documentation. Credit notes relating to invoices for which payment has already been made shall not be approved. Upon approval of a credit note, the Tax Team shall ensure that the relevant tax returns are amended to correctly adjust the input claimed VAT.

### Accounting for Input VAT

Input VAT may be accounted for using the Standard Method where a supplier deals exclusively in taxable supplies, or the Standard Alternative Method (SAM) where the supplier makes mixed supplies and other apportionment methods would disadvantage the taxpayer. The Fund shall apply the Standard Alternative Method of apportionment to account for input VAT, as taxable supplies constitute less than 5% of total turnover. This approach ensures fair and compliant recovery of input VAT in accordance with URA guidelines.

### VAT on Imported Services

As a registered VAT taxpayer, NSSF shall account for VAT on all imported services that are not exempt under the VAT Act and remit the tax to URA by the 15th day of the following month. This requirement does not apply to imported services that are specifically exempt under the VAT Act.

### VAT on Imported Services Decision Checklist

- Confirm that NSSF is paying for an imported service to a non- resident supplier
- Confirm the supplier is non-resident
- Determine where the service is performed and consumed. If the service is provided to NSSF and determined to be used and consumed in Uganda, VAT on imported services applies. However, if the service is both used and consumed abroad, VAT on imported services does not apply. – Review the contract with the non-resident supplier to confirm.
- Check whether the service would be exempt if supplied locally. If it falls under the exemptions in the VAT Act, then VAT on imported services does not apply. Otherwise, NSSF must charge VAT under the self-charge mechanism i.e the VAT is accounted for by NSSF but not charged to the non-resident or passed on to the non-resident.

- Determine the taxable value based on the invoice amount and apply the standard VAT rate where applicable, and ensure the transaction is properly registered in EFRIS in accordance with VAT reporting requirements. The taxable value = Total amount paid or payable by NSSF to the non-resident (before offsetting any Uganda WHT due on the payment to the non-resident).

#### Withholding VAT

Withholding VAT is a tax collection mechanism under Uganda's Value Added Tax framework whereby designated withholding agents deduct one-third (1/3) of the VAT charged (equivalent to 6% of the taxable value) when making payment to a VAT-registered supplier who is not exempt from Withholding VAT.

The withheld VAT amount shall be remitted directly to the Uganda Revenue Authority (URA) within fifteen (15) days after the end of the month in which payment is made.

The Accounts Payable Manager shall ensure that

1. Withholding VAT equivalent to one-third (1/3) of the VAT charged is deducted from all applicable payments made to VAT-registered suppliers where the supplier has not issued an EFRIS Invoice.
2. Only eligible suppliers are subjected to Withholding VAT,
3. All withheld amounts are remitted within the statutory timelines.

#### Electronic Fiscal Receipting and Invoicing Solution (EFRIS)

EFRIS is the Uganda Revenue Authority's electronic fiscal receipting and invoicing system. It enables taxpayers to issue e-receipts and e-invoices through approved Electronic Fiscal Devices, e-invoicing tools, or direct system-to-system integration with URA. Once a transaction is initiated through any approved EFRIS channel, the transaction details are transmitted to URA in real time for validation and generation of the corresponding e-receipt or e-invoice.

E-invoicing is mandatory for VAT-registered taxpayers and for other business transactions prescribed by URA. Businesses required to use EFRIS must issue electronic invoices or receipts in the prescribed format and transmit them to URA for validation in accordance with the applicable tax laws and URA requirements.

Effective 1 July 2025, businesses operating in the following sectors are required to use URA's centralized invoicing and receipting systems to issue electronic invoices or receipts under EFRIS:

1. Wholesale and retail of fuel
2. Mining and quarrying
3. Manufacturing
4. Electricity, gas, steam, and air conditioning supply

5. Water supply, sewerage, waste management, and remediation activities
6. Construction
7. Transportation and storage
8. Accommodation and food service activities
9. Information, communication, and technology services
10. Real estate activities
11. Professional, scientific, and technical activities
12. Arts, entertainment, and recreation

#### **NSSF's EFRIS Obligations**

##### **Fiscalisation of Sales and Taxable Supplies**

NSSF shall generate valid EFRIS fiscal invoices for all taxable supplies, including but not limited to:

- Rental income from commercial and residential properties
- Service charges
- Any other taxable supply made in the ordinary course of the Fund's business

The Revenue Assurance Manager shall ensure that all applicable transactions are invoiced through the EFRIS platform and transmitted to URA in real time.

##### **Fiscalisation of Imported Services**

Where NSSF procures services from non-resident suppliers, the Fund shall self-account for VAT, where applicable, and fiscalise the imported service transaction through EFRIS.

The Tax and Insurance Manager and the Accounts Payable Manager shall ensure that all applicable imported service transactions are fiscalised through EFRIS.

##### **EFRIS Invoices from Suppliers**

The Financial Accountant (AP) shall ensure that suppliers, service providers and contractors required to issue EFRIS invoices submit valid fiscalised invoices before payments are processed.



#### Monthly compliance checklist and month-end workflow

| Timeline                                   | Key Tasks                                                                                                                                                                                                                                                                                                             | Action Officer                           |
|--------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------|
| Invoice collection & supplier verification | <ul style="list-style-type: none"> <li>Procurement and registry receive and submit all supplier invoices and credit notes to Finance.</li> <li>Finance verifies supplier invoice, the invoice should contain a TIN and other relevant Information.</li> <li>All Invoices with out a TIN should be declined</li> </ul> | Records Officer / procurement specialist |
| VAT classification & coding                | <ul style="list-style-type: none"> <li>Allocate each invoice to an expense code (claimable, non-creditable, or partially claimable VAT).</li> <li>Identify imported services and assess reverse-charge VAT obligations.</li> </ul>                                                                                    | Financial Accountant (AP)                |
| WHT processing & calculation               | <ul style="list-style-type: none"> <li>Review supplier ledger for cumulative payments reaching UGX 1,000,000 threshold and apply withholding.</li> <li>Calculate WHT per invoice, withhold before payment,</li> </ul>                                                                                                 | Financial Accountant (AP)                |
| Reconciliations & variance analysis        | <ul style="list-style-type: none"> <li>Reconcile EFRIS VAT outputs with internal VAT ledger (input &amp; output VAT).</li> <li>Reconcile WHT withheld to supplier ledger and bank payment dates.</li> <li>Investigate material variances, missing credit notes, or timing differences.</li> </ul>                     | Financial Accountant(Tax)                |

|                             |                                                                                                                                                                                                                                                                                                            |                            |
|-----------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------|
| Filing & remittance         | <ul style="list-style-type: none"> <li>• File VAT return and remit payable VAT to URA by the 15th.</li> <li>• File WHT return, remit withheld amounts, and issue WHT certificates.</li> <li>• If net input VAT refund &gt; UGX 10M, initiate refund process per NSSF policy &amp; URA guidance.</li> </ul> | Financial Accountant (Tax) |
| Management review & control | <ul style="list-style-type: none"> <li>• Conduct quarterly internal VAT and WHT reviews.</li> <li>• Implement remedial actions and targeted staff training where control gaps are identified</li> </ul>                                                                                                    | Tax and Insurance Manager  |

#### Acronyms

- AP – Accounts Payable
- CFO – Chief Financial Officer
- CPA – Certified Public Accountant(s)
- DTA – Double Taxation Agreement
- EFRIS – Electronic Fiscal Receipting and Invoicing Solution
- ERM - Enterprise Risk Management
- ERP – Enterprise Resource Planning
- EXCO – Executive Committee
- FDN – Fiscal Document Number
- GAAP – Generally Accepted Accounting Principles
- IFRS – International Financial Reporting Standards
- LST – Local Service Tax
- NSSF – National Social Security Fund
- PAYE – Pay As You Earn
- PDU – Procurement and Disposal Unit
- PE – Permanent Establishment

- PRN – Payment Reference Number
- RA – Revenue Assurance
- RASCI - Responsible, Accountable, Support, Consulted, Informed
- SAM – Standard Alternative Method
- TP – Transfer Pricing
- URA – Uganda Revenue Authority
- VAT – Value Added Tax
- WHT – Withholding Tax
- WHVAT – Withholding Value Added Tax

#### Definitions

- Tax Team – This is the organizational unit comprised of the Financial Accountant - Tax and Tax and Insurance Manager. This team is collectively responsible for ensuring the Fund's full compliance with the relevant tax laws, accurate financial reporting and implementation of effective tax strategies.
- Tax Advisors – This is a team of external certified public accountants (CPAs), tax attorneys, or professional tax consultancy firms legally engaged by the Fund to provide independent expert advice, specialized tax planning and audit support.
- Tax Authorities – These are governmental and regulatory bodies that have legal jurisdiction over the Fund to assess, collect and audit taxes.



